

has gone down over the last five years. "If one compares the price against the technological advancements that have taken place, definitely the price has gone down. However, about 40 per cent of the SMT machines sold in India are second-hand machines, and this indicates that a sizeable segment finds the cost of the SMT machines less cost-efficient," he opines.

"There are two ways of seeing the cost factor. One can reduce the price of the SMT machines and keep the technology at the level it was five years back, or one increases or keeps the price almost on the same level it was a couple of years back and gives all the latest technologies. It is up to the customer to decide which one they should opt," says S.P. Arora.

Basically, SMT equipment vendors need to strike the right balance between technology and price in order to gain a competitive edge. The best

strategy in pricing lies in being cost-effective while ensuring provision of value-added services for customers.

S.K. Jain suggests, the government should impose anti-dumping duties on finished products like mobile phones, STBs and LCD TVs in order to ensure their local manufacturing, which would boost the sale of SMT equipment.

Challenges faced by players

Despite the growing demand and the potential of the SMT market in India, suppliers of these machines face a few challenges. For instance, components are becoming smaller and smaller, making the design complicated, hence machines and equipment also need to be upgraded quite often. "Quick changes in technology and therefore a fear of return on heavy investments, and longer lead time of components are affecting everything including

machine and product delivery," says Krishnakumar.

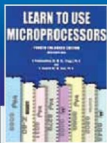
On the other hand, low margins on contract sales make people go for second-hand machines, reducing the profit margin of the machine manufacturers and suppliers. SMT machines, which could cost \$50,000 to \$300,000, are too big an investment for a company in its initial stages while the return on investment is uncertain. That's the reason why many EMS companies go in for second-hand SMT equipment. Used equipment account for 30-40 per cent of the overall SMT equipment sales. Generally, used equipment in good condition are available for half the cost of a new equipment.

Multiplicity of taxes, archaic duties like octroi and high import duty of raw materials add to the challenges faced by the players. ●

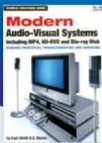
The author is executive editor for EFY's Electronics Bazaar magazine

EFY BOOKS SERIES

Books For You!



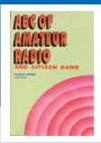
Rs 180/- (with Floppy)
By K. Padmanathan & S. Ananthi
An EBY bestseller, provides practical details to learn the subject well



Rs 180/- (with CD)
By Gp. Capt. (Retd) K.C. Bhavin
Working principles, common faults and remedies, plus simple testing procedures



Rs 60/-
By D. Venkatasubbiah
Clears many misconceptions and doubts about small batteries and cells



Rs 75/-
By Rajesh Verma
Explains basics of electronics besides Ham radio and Citizen Band



Rs 80/-
By Gp. Capt. (Retd) K.C. Bhavin
Instructions for 40 popular and tested electronic hobby projects, plus much more



Rs. 300/- (with CD)
An application-oriented and resourceful book for engineering students, hobbyists, teachers and practicing engineers alike

Distributor: IBH Books & Magazine Distributors (P) Ltd

Ahmedabad
079-26131261, 26052750
Chandigarh
0172-2703667
Kolkata
033-22498096, 22498097

Bangalore
080-22261305, 22252385
Chennai
044-28592743, 28592582
Pune
020-26131261, 26052750

Mumbai
022-40497413, 40497474
Hyderabad
040-24750053
Thiruvananthapuram
0471-2475443

New Delhi
011-23313014/15
Patna
0612-2226540
Jaipur
0141-2317661

For postage-free Delivery:

Kits'n'Spares
D-88/5, Okhla Industrial Area, Phase 1,
New Delhi 110020; Phone: 011-26371661/62
E-Mail: info@kitsnspares.com
Website: www.kitsnspares.com